

The Human-AI Partnership Framework

Where human judgment belongs

Time-to-Pay

PCF 9.5 — Payroll processing — Value Stream Profile

This value stream comprises one APQC PCF process group: 9.5 Process Payroll — spanning 3 Level 3 processes and 18 Level 4 activities.

At the activity level, this value stream's work breaks down as 14 Transaction activities, 3 Knowledge activities, and 1 Document activity. No Decision- or Exception-pattern activity exists within this value stream.

At M3 (HITL Design Intent), the value stream's aggregate human-involvement ratio is 41%, down from a 66% undesigned baseline — a 25-point AI convergence opportunity, the second-steepest in PCF 9.0.

L3 PROCESSES	L4 ACTIVITIES	M1 BASELINE H%	M3 DESIGN INTENT H%	Δ M1 → M3
3	18	66%	41%	-25%

KPIs

Business Impact Metric & Formula (where confirmed)	Source
Payroll cost per payslip <i>Total payroll operating cost ÷ number of payslips issued per period</i>	APQC OSB
Payroll accuracy rate <i>% of payslips issued without a correction or off-cycle adjustment</i>	PayrollOrg (formerly American Payroll Association)
On-time payroll delivery rate <i>% of pay runs completed and funded by the scheduled pay date</i>	APQC OSB

Design Narrative

Time-to-Pay concentrates payroll operations under Director of Accounting, Accountable for 2 of the stream's 3 L3s — time reporting (9.5.1) and pay management (9.5.2) — with Tax Manager holding the third, payroll tax processing (9.5.3), a specialist carve-out consistent with how PCF 9.0 keeps tax work under Tax Manager wherever it appears, even inside an otherwise Accounting-owned stream. This value stream also carries the framework's clearest cross-domain participation boundary since HR's own Reward-to-Retain payroll handoff: HR Generalist and HRIS Analyst appear as Informed external participants on time reporting and pay management respectively, mirroring PCF 7.0's 7.5.4 (Administer Payroll), where HR's accountability was explicitly scoped to personnel data while Finance owns the payroll run itself. Its steepest AI-absorption opportunity sits in 9.5.1.1 (Establish policies and procedures, Document-pattern, -32 points).

AI Capability Map

Pattern-type distribution across this value stream's activity units. H% figures are the pattern type's standard value at each maturity level, applied consistently across all PCF domains.

Decision <i>Judgment & Authority — gates that stay human by design</i> 0 L4 activities <i>No activities of this pattern in this value stream</i>	Knowledge <i>Synthesis & Interpretation — judgment-driven work</i> 3 L4 activities M1 85% → M3 65%	Document <i>Content Generation — drafting and communication</i> 1 L4 activities M1 72% → M3 40%	Transaction <i>Rules-Based Processing — suited to automation</i> 14 L4 activities M1 60% → M3 35%	Exception <i>Non-Standard Resolution — human-resolved by nature</i> 0 L4 activities <i>No activities of this pattern in this value stream</i>
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Process Accountability

Process Accountability	Tier	L3 Processes	L4 Activities
Director of Accounting	Managerial	9.5.1, 9.5.2	13
Tax Manager	Managerial	9.5.3	5

Handoff Points

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Time-to-Pay opens with Director of Accounting-accountable time reporting (9.5.1), consuming timesheet data HR systems originate and HR Generalist stays Informed on.

Time data feeds pay management (9.5.2) — entering hours, administering earnings and deductions, and processing payment — with HRIS Analyst Informed on the employee-data dependency.

Pay management output feeds Tax Manager-accountable payroll tax processing (9.5.3) — calculating, paying, and filing payroll taxes — closing the stream before results reconcile back into Record-to-Report's general ledger.

Governed Decision Points

No Decision- or Exception-pattern activity in this value stream — every step here is Knowledge, Document, Transaction, or Mixed without an embedded Decision/Exception component.

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